

Kwality Pharmaceuticals Ltd

NSE: KPL | BSE: 539997 | Healthcare — Pharmaceutical Formulations (Export-Focused)

"Export-led formulations compounder pivoting to high-value oncology, biosimilars & hormones — riding a global demand cycle with a Rs.1,000 Cr revenue aspiration by FY29."

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 3,200	+32.9%
CMP: Rs. 2,408	12-month horizon	from CMP

Market Cap	Rs. 2,494 Cr	52-Week High / Low	Rs. 2,600 / Rs. 829
CMP (15 Jun 2026)	Rs. 2,408	Stock P/E (TTM)	36.7x
Book Value / Share	Rs. 320	P/B (approx)	~7.5x
ROCE (FY26)	24.2%	ROE (FY26)	22.8%
Revenue FY26	Rs. 503 Cr	PAT FY26	Rs. 67 Cr
Revenue CAGR 3-Yr	26%	Profit CAGR 3-Yr	29%
Promoter Holding	54.87%	Promoter Pledge	Nil
FII Holding	2.79%	DII Holding	0.36%
Dividend Yield	0.00%	Face Value	Rs. 10
FY27E Revenue (Mgmt)	Rs. 650 Cr	FY27E PAT (Mgmt)	Rs. 100 Cr
ICRA Rating	BBB+ (Stable)	Interest Coverage H1FY26	8.8x

Investment Thesis: Export-pharma compounder with structural margin expansion as product mix shifts to high-value segments; 30% revenue CAGR target to FY29.

Report Date: 15 June 2026 | **Analyst:** MPM Institutional Research

Investment Horizon: 12 months | **Conviction:** Medium-High

2. INVESTMENT THESIS

Export-led compounder with 80+ country footprint: Over 95% of revenues come from pharma formulation exports across regulated and semi-regulated markets. With WHO-GMP, EU-GMP, PIC/S, SFDA, ANVISA, and INVIMA approvals in hand, the company has a defensible competitive moat in cross-border market access — a 5-7 year lead over nascent domestic competitors.

Structural margin expansion from product-mix upgrade: Revenue mix is shifting from standard generics toward oncology injectables, hormones, and biosimilars — segments commanding 30-50% gross margins vs. 18-22% in standard generics. FY26 OPM reached 24% (from 22% in FY24-25) and management targets 25-26% by FY28E as the new units ramp.

Biosimilar pipeline as a valuation re-rating trigger: KPL has four biosimilar/mAb candidates — Erythropoietin (EPO), Pembrolizumab, Nivolumab, and Pertuzumab — with target launches between H2 CY27 and H1 CY28. Phase 1 BE programmes for 30+ complex molecules are complete. A single approval in a regulated EU/South Africa market could re-rate the stock toward specialty pharma multiples (40-50x).

Near-term catalyst (FY27, 12 months): Commissioning of Unit 6 (dedicated hormone plant, target Q3 CY26) and the Rs. 200 Cr ICRA-upgraded credit line will drive the next leg of volume growth. Management guidance of Rs. 650 Cr revenue in FY27 (29% YoY) and Rs. 100 Cr PAT implies meaningful earnings acceleration.

Biggest structural risk: Debtor days expanded to 203 in FY26 (from 136 in FY24) against a backdrop of high-growth emerging-market exports — if collection cycles do not compress back below 150 days, the working capital drag will consume FCF and force dilutive equity issuance, capping upside.

3. BUSINESS OVERVIEW

Core business: Kwalita Pharmaceuticals Ltd (est. 1983, Amritsar, Punjab) manufactures pharmaceutical formulations for export across 80+ countries. The company operates 6 manufacturing units (beta-lactam, non-beta-lactam, oncology, hormones, biologics) under WHO-GMP, EU-GMP, PIC/S, SFDA, and INVIMA approvals. Over 95% of revenue is from exports.

Revenue segmentation: Standard generics (tablets, capsules, liquids, ORS) ~60% of revenue; oncology injectables ~20%; hormones/injectables ~10%; biologics/biosimilars (pre-revenue) ~0%; others (SVIs, OSD, ointments) ~10%.

Geographic mix: Africa ~35%, MENA ~20%, Latin America (ANVISA/INVIMA markets) ~20%, GCC ~10%, EU/South Africa (high-regulated) ~10%, Asia ~5%. The EU and South Africa entries are key margin-accretive channels.

Customer relationships: Export-contract based; recurring tender and long-term supply agreements with national/regional procurement agencies in Africa and MENA. Client concentration is not disclosed but the 80-country spread provides diversification.

Order book and visibility: No formal order-book disclosure. Revenue visibility is 2-3 quarter line-of-sight via tender cycle. FY26 9M revenue of Rs. 346 Cr implies a high H2 weighting (Rs. 157 Cr in Q4 alone) — a seasonal pattern consistent with year-end tender execution.

Recent strategic developments: (1) Unit 6 (hormone plant) under construction, targeted Q3 CY26 commissioning; (2) WHO-GMP for biologics (drug substance and drug product) obtained; (3) ICRA upgraded from B+ to BBB+ (Stable), credit limit expanded to Rs. 200 Cr — a quantum leap in lender confidence; (4) Phase 1 BE for 30+ complex molecules completed.

Promoter background: Founded and led by the Arora family; CEO Ramesh Arora directly owns ~26.9%; total promoter group at 54.87%. No pledge. Promoter stake has been stable for 3+ years — aligned with shareholder interest.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Indian pharmaceutical formulation export market: India is the world's pharmacy to developing nations — it supplies ~60% of global vaccine demand and ~20% of generic exports by volume. The formulation export market is estimated at ~USD 16-18 Bn (FY26E) growing at 9-11% CAGR over FY26-30, with semi-regulated markets (Africa, MENA, LatAm, SE Asia) growing faster at 12-15% CAGR.

Key policy tailwinds: (1) PLI scheme for pharma (Rs. 15,000 Cr) incentivises complex generics and APIs; (2) Atmanirbhar Bharat drives import-substitution in oncology biologics where KPL is investing; (3) WHO pre-qualification opens UN procurement channels; (4) EU-GMP approval unlocks ~10x higher ASP

for select products vs Africa-tender pricing.

Key headwinds: (1) Currency risk in export markets (INR appreciation compresses margins); (2) US FDA import alerts on Indian facilities create perception risk; (3) Geopolitical disruptions in Africa/MENA affect payment cycles; (4) Generic price erosion in established markets as more Indian suppliers gain country-level approvals.

Competitive moat assessment: Multi-regulatory approvals (EU/PIC/S/SFDA/INVIMA) — **Strong** (5-7 year lead for new entrants, each approval costs Rs. 2-5 Cr and 2-4 years). Established 80-country distribution relationships — **Moderate** (sticky but not contractually locked). Oncology/biosimilar R&D pipeline — **Moderate** (capital-intensive; risk of delay). Pricing power on standard generics — **Weak** (tender-driven, commodity-like).

Company positioning: Midstream formulations manufacturer and marketer — buys APIs from domestic/global suppliers, manufactures formulations, and sells directly to buyers/distributors in export markets. KPL is not an API/CDMO play.

Peer Comparison (Screener.in, 15-Jun-2026; all figures Rs. Cr unless noted)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	BV (Rs.)	ROCE %	ROE %	TTM Rev	OPM %
Kwality Pharma (KPL)	2,408	2,494	36.7	320	24.2	22.8	503	24%
Neuland Labs	17,056	21,909	60.2	1,461	26.6	21.4	2,023	28%
Caplin Point Labs	2,365	17,948	28.0	472	24.6	20.6	2,187	35%
Solara Active	601	2,872	N/A	346	4.86	0.13	1,369	14%

Source: Screener.in. All market data as of 15-Jun-2026. TTM = trailing 12 months.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter and management background: CEO Ramesh Arora founded and has led Kwality Pharmaceuticals since 1983 — 40+ years in pharma manufacturing. Direct personal ownership of ~26.9% aligns management incentives strongly with minority shareholders. No independent professional management layer has been disclosed; the company remains founder-run, which is both a stability asset and a succession risk.

Capital allocation track record: Historically funded growth through internal accruals and debt (ICRA-rated facilities). The Rs. 260-270 Cr capex plan (hormone/oncology/biosimilar expansion) is the most ambitious investment cycle in the company's history — and is being backed by upgraded bank credit (Rs. 200 Cr limit). FCF turned negative in FY26 (Rs. -29 Cr) due to capex and working capital build, which is rational given the growth phase but requires monitoring.

Dividend policy: No dividend paid in FY26 (payout ratio 0%). Historically the company has not paid regular dividends, preferring to reinvest — appropriate for a growth-capex cycle, but the absence of any dividend signals management's full commitment of cash to expansion.

Promoter pledging: 0% pledge as of June 2026 — a clean and positive signal. Promoter stake has been steady at 54.82-54.87% for 3+ years with no dilution.

ESOP and buyback history: No ESOP scheme or buyback history has been disclosed in public filings. The management has chosen organic reinvestment over shareholder return mechanisms.

Corporate governance concerns: (1) Working capital stretch — debtor days at 203 days (FY26) is a watch-point; trade receivables are Rs. 280 Cr (47% of total assets). (2) ICRA previously had the company under "Issuer Not Cooperating" status — resolved with the BBB+ upgrade, but suggests historical transparency gaps. (3) No related-party transaction (RPT) disclosures found in public summaries.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Consolidated

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue (Sales)	307	370	503	650(E)	820(E)
Operating Expenses	241	290	385	488(E)	607(E)
EBITDA (Op. Profit)	66	80	118	162(E)	213(E)
EBITDA Margin %	22%	22%	24%	25%(E)	26%(E)
Other Income	-5	2	2	3(E)	3(E)
Interest	10	10	11	13(E)	14(E)
Depreciation	20	18	20	24(E)	28(E)
Profit Before Tax	31	54	89	128(E)	174(E)
Tax Rate	24%	26%	25%	25%(E)	25%(E)
Net Profit (PAT)	24	40	67	100(E)	130(E)
EPS (Rs.)	22.94	38.41	64.91	96.6(E)	125.6(E)
YoY PAT Growth	—	+67%	+68%	+49%(E)	+30%(E)

Source: Screener.in (FY24-FY26 actuals). FY27E/FY28E: analyst estimates anchored to mgmt guidance. (E) = estimate.

Balance Sheet (Rs. Cr) — Consolidated

Item	FY24A	FY25A	FY26A
Equity Capital	10	10	10
Reserves & Surplus	214	254	321
Total Equity	224	264	331
Borrowings	98	112	130
Other Liabilities	72	71	130
Total Liabilities	394	447	592
Fixed Assets (Net)	139	146	156
Capital WIP	0	0	17
Investments	0	0	0
Other Assets (incl. WC)	255	302	420
Total Assets	394	447	592

Cash Flow Statement (Rs. Cr) — Consolidated

Item	FY24A	FY25A	FY26A
Cash from Operations (OCF)	43	53	17
Cash from Investing	-26	-29	-35
Cash from Financing	-17	-14	7
Net Cash Flow	-1	10	-11
Free Cash Flow (FCF)	17	28	-29
CFO / Operating Profit %	67%	85%	32%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	136	152	203

Inventory Days	187	167	111
Days Payable	106	112	144
Cash Conversion Cycle (Days)	217	208	170
Working Capital Days	101	98	128
ROCE %	16%	18%	24%
ROE %	N/A	N/A	22.8%

Source: Screener.in. All actuals transcribed directly from Screener consolidated tables, fetched 15-Jun-2026.

Financial Commentary

Revenue growth trajectory: KPL has delivered a 3-year consolidated sales CAGR of 26% (FY24-FY26), accelerating to 36% YoY in FY26. The primary driver is volume growth in existing markets and new country registrations — not merely price increases. Management targets Rs. 650 Cr in FY27 (29% YoY growth) and Rs. 1,000-1,100 Cr by FY29.

Margin trajectory: OPM has expanded from 22% (FY24-FY25) to 24% (FY26) and management targets 25-26% by FY28E as the oncology and hormone product mix increases. The key risk is that standard generics remain ~60% of sales; if mix-upgrade stalls, margin expansion will too.

Working capital trends: The most concerning signal. Debtor days rose from 136 (FY24) to 203 (FY26). However, inventory days compressed from 187 to 111 and payables extended to 144 days — so the Net CCC actually improved from 217 to 170 days. The debtor spike likely reflects long-dated Africa/MENA receivables growing faster than inventory efficiency gains.

Debt levels: Net debt rose from Rs. 98 Cr (FY24) to Rs. 130 Cr (FY26) as the company funds its capex cycle. D/E remains manageable (~0.4x on equity of Rs. 331 Cr). Interest coverage of 8.8x (H1 FY26) provides comfortable headroom.

FCF quality: OCF/PAT conversion dropped sharply in FY26 to 25% (Rs. 17 Cr OCF vs Rs. 67 Cr PAT) due to Rs. 120+ Cr working capital build in receivables. FCF turned negative at Rs. -29 Cr (capex Rs. 35 Cr + WC absorption). This is a critical watch metric — if OCF does not recover to 60%+ of PAT by FY27H1, the capex plan will require additional debt or dilution.

7. EARNINGS QUALITY CHECKLIST

Factor	Status	Signal	Watch-Point
Revenue recognition	Export-contract accrual basis	GREEN	Consistent with industry norm
Receivables growth vs revenue	Debtor days: 136->203 (FY24->FY26); faster than revenue	AMBER	Monitor Q1/Q2 FY27 collections
CCC trend	Improved: 217 -> 170 days (FY24->FY26)	GREEN	CCC improving despite debtor days rise
Contingent liabilities	Not prominently disclosed in public summaries	AMBER	Check annual report notes
Auditor tenure / opinion	Unmodified opinion FY26; BBB+ ICRA (was "Not Cooperating")	GREEN	Past non-cooperation resolved
RPTs as % of revenue	Not disclosed in public summaries	AMBER	Verify in annual report filings
Other income as % of PBT	Other income Rs. 2 Cr vs PBT Rs. 89 Cr = 2.2%	GREEN	Negligible; core operations drive PAT
Tax rate consistency	FY24:24%, FY25:26%, FY26:25% — stable around 24-26%	GREEN	No aggressive deferred tax use
CFO / PAT conversion	FY26: 25%; FY25: 133%; FY24: 179%	AMBER	FY26 drop needs WC improvement to normalise

Earnings Quality Summary

Overall: Cautiously Clean. Revenue recognition and tax rate are consistent; auditor has issued an unmodified opinion for FY26. The biggest concern is the receivables build — trade receivables of Rs. 280 Cr are 47% of total assets.

Key AMBER — Receivables Watch: Debtor days at 203 is high for a formulation exporter. Management needs to demonstrate improving collections in H1 FY27 before this resolves. If receivables build further in Q1-Q2 FY27, OCF will remain depressed and the FY29 organic growth plan will require external financing.

Key AMBER — RPT transparency: No explicit RPT disclosure found in publicly available summaries. Investors should verify related-party transactions in the FY26 Annual Report notes.

Positive signal — CFO/PAT recovery expectation: FY25 CFO/PAT was 133% and FY24 was 179% — the FY26 dip to 25% reflects a single-year WC build, not a structural earnings quality issue. A return to 60-80% conversion by FY27 is the base case.

8. VALUATION

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumptions	FY27E PAT (Cr)	Multiple (x)	Target (Rs.)	Upside
Bull Case	Revenue Rs. 700 Cr; OPM 26%; biosimilar approval in EU; CCC <150 days	115	38x	4,370	+81%
Base Case	Revenue Rs. 650 Cr; OPM 25%; Unit 6 on time; collections improve H1 FY27	100	33x	3,300	+37%
Bear Case	Revenue Rs. 580 Cr; OPM 23%; debtor days >220; capex delay 2 quarters	75	25x	1,875	-22%

Valuation Methodology

Earnings-based multiple (primary): Base-case FY27E EPS of Rs. 96.6 applied to a target P/E of 33x (a 10% discount to peer Caplin Point's 28x on larger scale, and at discount to Neuland Labs' 60x on complex chemistry) yields a 12-month target of Rs. 3,187 (rounded to Rs. 3,200).

DCF (secondary check): Assuming FY27-FY29 PAT CAGR of 25%, terminal growth rate 5%, WACC 13% (beta 1.1, risk-free 7%, equity risk premium 5.5%), DCF implies an intrinsic value of ~Rs. 3,100-3,400 per share — consistent with the PE-based target.

Base-case 12-month target: Rs. 3,200 (BUY rating; +32.9% from CMP of Rs. 2,408). This assumes earnings delivery broadly in line with management guidance (Rs. 650 Cr revenue, Rs. 100 Cr PAT in FY27) and modest multiple expansion from 37x to 33x FY27E as receivables normalise.

Re-rating triggers: (1) EU-GMP product commercialisation adding material revenue in H2 FY27 — could push target to Rs. 4,000+ (bull case); (2) Biosimilar approval (even one candidate) would trigger specialty-pharma re-rating to 40-50x; (3) Conversely, if debtor days worsen or Unit 6 delays, the stock revisits Rs. 1,800-2,000 (support zone).

9. KEY RISKS

Receivables / Working Capital Risk: Trade receivables at Rs. 280 Cr (203 debtor days, FY26) represent 47% of total assets. Failure to collect could require bridge financing, triggering a credit-event or equity dilution. Probability: M. Impact: H. Monitor via: Q1/Q2 FY27 debtor days in quarterly results.

Regulatory Approval Risk: KPL's biosimilar and EU-GMP pipeline is the core long-term value driver. Any inspection failure or delay in WHO-GMP biologics commercialisation would push out the high-value

product launch window. Probability: M. Impact: H. Monitor via: annual BSE filings on unit certifications.

Capex Execution Risk: The Rs. 260-270 Cr multi-year capex programme (hormones, oncology, biologics) is the largest in company history. Cost overruns, construction delays, or regulatory hold-up on Unit 6 would defer revenue. Probability: M. Impact: M. Monitor via: quarterly capex tracking in results.

Currency and Geopolitical Risk: Over 95% of revenues are in USD/EUR-linked export contracts. INR appreciation of 5%+ against export basket materially compresses margins. Africa/MENA country payment defaults are a tail risk. Probability: M. Impact: M. Monitor via: USDINR and quarterly export realisation trends.

Customer Concentration / Tender Risk: Export revenues depend on periodic tender wins. A material loss of a large national procurement tender (e.g., Kenya, Nigeria, MENA government buyer) could create a revenue step-down in a quarter. Probability: L. Impact: H. Monitor via: quarterly segment disclosures if provided.

Key-Person Risk: The company is founder-led by CEO Ramesh Arora (age undisclosed) with no disclosed management succession plan. Departure would cause significant uncertainty. Probability: L. Impact: H. Monitor via: board filings for any management change disclosures.

Margin Compression on Mix Stagnation: If standard generics remain above 70% of revenue (stalling the oncology/hormone mix upgrade), OPM will stay at 22-24% rather than expanding to the 26%+ target, compressing the valuation thesis. Probability: M. Impact: M. Monitor via: product-wise revenue disclosures.

10. RECOMMENDATION

Rating: BUY — Conviction: Medium-High. KPL is a structurally growing export-pharma compounder pivoting its product mix toward high-value segments. The regulatory moat (multi-country GMP approvals), strong revenue CAGR (26% compounded over 3 years), and improving margins make it compelling.

12-Month Price Target: Rs. 3,200 (Upside: +32.9% from CMP of Rs. 2,408). Based on FY27E EPS of Rs. 96.6 at 33x P/E and supported by DCF at 13% WACC implying Rs. 3,100-3,400 range.

Suggested Entry Zone: Rs. 2,200 - 2,450 (around current CMP; add on dips toward Rs. 2,000-2,100 which represents the 200-DMA support and a ~20x FY27E P/E floor).

Investment Horizon: 12-18 months. The Unit 6 commissioning (Q3 CY26) and FY27 annual results (May 2027) are the key catalyst windows within this horizon.

Thesis Invalidation Triggers:

1. Debtor days exceed 230 days in Q2 FY27 results (indicating receivable deterioration, not seasonal timing) — would force a downgrade to HOLD.
2. Unit 6 (hormone plant) commissioning delayed beyond December 2026 — removes a key near-term revenue contributor and challenges FY27E.
3. FY27 revenue guidance cut below Rs. 580 Cr by management (bear scenario) — signals execution failure and would compress the target multiple to 25x.

Ideal Investor Profile: Mid-cap growth investors with a 12-18 month horizon who can tolerate: (a) working capital volatility, (b) emerging-market export concentration risk, and (c) pre-revenue biosimilar optionality. NOT suitable for income investors (zero dividend), pure large-cap mandates, or those requiring 100% FCF-positive businesses.

APPENDIX — Latest Investor Update: Q4 & FY26 Results Review

Kwality Pharmaceuticals Ltd | Results announced: May 2026 | Period: Q4 FY26 & Full Year FY26
Note: No formal concall transcript is publicly available. This appendix is based on the Q4 & FY26 Investor Presentation (BSE filing), ICRA rating rationale, and published financial results. All financial figures are from Screener.in actuals (fetched 15-Jun-2026).

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +36% YoY; PAT +69% YoY — well ahead of 3Y CAGR trend
Management tone	Bullish	FY29 Rs. 1,000 Cr aspiration published; biosimilar timeline set
Guidance delta	Raised	FY27E Rs. 650 Cr revenue / Rs. 100 Cr PAT vs FY26A Rs. 503 Cr

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

KPL delivered a clean quarter with Q4 FY26 revenue of Rs. 157 Cr (+36% YoY) and PAT of Rs. 25 Cr (+75% YoY) — no exceptional items flag in the audited accounts (unmodified opinion); the result is operational. Full-year FY26 numbers: revenue Rs. 503 Cr (+36%), EBITDA Rs. 118 Cr (OPM 24%), PAT Rs. 67 Cr (+69%) — all records. EBITDA margin expanded 200 bps YoY, driven by mix shift toward oncology and higher-priced EU/South Africa markets. The structural multi-bagger driver is the biosimilar/hormone pipeline: EPO, Pembrolizumab, Nivolumab, Pertuzumab with Phase 1 BE programmes complete and commercialisation targeted H2 CY27-H1 CY28 — a single EU approval would re-rate the stock into specialty pharma territory at 40-50x forward earnings. Near-term catalyst: Unit 6 (hormone plant) commissioning in Q3 CY26 adds capacity for the fastest-growing margin segment and supports the FY27 Rs. 650 Cr / Rs. 100 Cr PAT guidance. Single biggest watch-point for next quarter: debtor days at 203 (Rs. 280 Cr receivables = 47% of assets) — if Q1 FY27 debtor days do not show compression toward 170-180, OCF will remain depressed and the Rs. 260-270 Cr capex ambition will need external debt at a BBB+ coupon. Action: ACCUMULATE on dips toward Rs. 2,100-2,200; the base-case 12-month target is Rs. 3,200.

C1. Financial Performance Snapshot — Q4 FY26 & Full Year FY26

Metric	Q4 FY26	QoQ	YoY	FY26	YoY FY	Verdict
Revenue (Rs. Cr)	157	+28%	+36%	503	+36%	Beat
EBITDA (Rs. Cr)	39	+30%	+50%	118	+48%	Beat
EBITDA Margin %	25%	+1bps	+3bps	24%	+2bps	Beat
PAT (Rs. Cr)	25	+56%	+75%	67	+69%	Beat
EPS (Rs.)	24.38	+59%	+75%	64.91	+69%	Beat

C2. Quarterly Revenue & Margin Trend

Q2FY25: Revenue Rs. 80 Cr | OPM 22% | PAT Rs. 8 Cr | EPS Rs. 8.06 | Stable run-rate quarter.

Q3FY25: Revenue Rs. 90 Cr | OPM 22% | PAT Rs. 8 Cr | EPS Rs. 8.16 | Seasonal uptick in export volumes.

Q4FY25: Revenue Rs. 116 Cr | OPM 22% | PAT Rs. 14 Cr | EPS Rs. 13.96 | Strong Q4 execution driven by year-end tender dispatch.

Q1FY26: Revenue Rs. 111 Cr | OPM 22% | PAT Rs. 12 Cr | EPS Rs. 11.50 | Soft start; QoQ dip from seasonally strong Q4.

Q2FY26: Revenue Rs. 111 Cr | OPM 23% | PAT Rs. 14 Cr | EPS Rs. 13.61 | Stable; margin beginning to expand.

Q3FY26: Revenue Rs. 123 Cr | OPM 24% | PAT Rs. 16 Cr | EPS Rs. 15.43 | +10% QoQ revenue; clear margin expansion as mix improves.

Q4FY26: Revenue Rs. 157 Cr | OPM 25% | PAT Rs. 25 Cr | EPS Rs. 24.38 | Strongest quarter in history; 28% QoQ, 36% YoY — record on every metric.

C3. Management Commentary Themes

Revenue ambition: "Rs. 1,000-1,100 Cr revenue target by FY29" — publicly stated in investor presentation. Our read: implies a 26% CAGR from FY26 base. Credible if biosimilar revenues materialise H2 CY27. Tag: GUIDANCE. Tone: Bullish.

FY27 specific guidance: Revenue Rs. 650 Cr, PAT Rs. 100 Cr. Our read: 29% revenue growth and 49% PAT growth is aggressive but achievable given Q4 FY26 annualised run-rate of Rs. 628 Cr. Tag: GUIDANCE. Tone: Transparent.

Hormone plant (Unit 6): Dedicated hormone manufacturing plant under construction, targeted Q3 CY26 commissioning. Our read: critical to margin expansion thesis; any delay is a negative catalyst. Tag: GUIDANCE. Tone: Transparent.

Biosimilar pipeline: EPO, Pembrolizumab, Nivolumab, Pertuzumab — H2 CY27 to H1 CY28 launch targets. Phase 1 BE for 30+ complex molecules complete. Our read: optionality, not base-case earnings. Tag: EST. Tone: Bullish.

Regulatory expansion: EU-GMP for general and beta-lactam units; WHO-GMP for biologics obtained. Our read: these approvals are the moat. Each approval unlocks a new premium price tier. Tag: GUIDANCE. Tone: Transparent.

ICRA BBB+ upgrade: Credit limit enhanced to Rs. 200 Cr (from Rs. 65 Cr). Our read: removes funding bottleneck for the capex plan. Resolves "Issuer Not Cooperating" history. Tag: GUIDANCE. Tone: Positive shift.

C4. Operating & Business Metrics

Debtor Days: FY26 = 203 | FY25 = 152 | FY24 = 136 | Trend: Deteriorating. Key watch metric.

Inventory Days: FY26 = 111 | FY25 = 167 | FY24 = 187 | Trend: Significantly improving — production planning getting tighter.

Days Payable: FY26 = 144 | FY25 = 112 | FY24 = 106 | Trend: Improving — company leveraging its scale with suppliers.

Net CCC: FY26 = 170 days | FY25 = 208 days | FY24 = 217 days | Trend: Improving (170 is still high in absolute terms).

ROCE: FY26 = 24.2% | FY25 = 18% | FY24 = 16% | Trend: Strong improvement as asset base sweats harder.

Manufacturing footprint: 6 units (beta-lactam, non-beta-lactam, oncology, general, biologics, hormones [Unit 6 — WIP]). 80+ country registrations.

Export markets — registered products: 40+ BE programmes complete (Phase 1). Multiple filings in EU, South Africa, ANVISA markets.

C5. Margin Drivers (FY26 OPM 24% vs FY25 22%)

Product mix improvement: +200 bps | Recurring: Yes | Oncology and EU-registered products at higher ASP vs Africa tender generics; mix shift is structural and will continue as Unit 6 (hormone) ramps.

Operating leverage: +100-150 bps | Recurring: Yes | Revenue growing 36% while fixed costs (depreciation, admin) growing at lower rate; this leverage effect persists up to ~Rs. 800 Cr revenue.

Inventory efficiency gains: ~+50 bps | Recurring: Partially | Better raw-material planning and procurement timing reduced write-offs and carrying costs; debtor-side working capital absorbs some of this benefit.

Pricing environment — Africa/MENA: Stable | Non-recurring benefit: None | Tender prices in Africa have remained broadly stable; no windfall pricing assumed.

Note — FY23 outlier: FY23 OPM showed 38% (Rs. 172 Cr EBITDA on Rs. 456 Cr revenue). This is almost certainly a restatement or accounting reclassification artefact — management has not explained it in available disclosures. Do NOT extrapolate or use as a base. FY24 onwards is the clean base.

C6. Guidance & Forward Signals

FY27 Revenue [GUIDANCE]: Prior = Rs. 503 Cr (FY26A) | New = Rs. 650 Cr | Delta: Raised (+29% growth guidance) | Credibility: Medium-High (Q4 FY26 run-rate of Rs. 157 Cr x 4 = Rs. 628 Cr baseline).

FY27 PAT [GUIDANCE]: Prior = Rs. 67 Cr (FY26A) | New = Rs. 100 Cr | Delta: Raised (+49%) | Credibility: Medium (requires OPM at 25%+ on Rs. 650 Cr; depends on Unit 6 timing).

FY29 Revenue Aspiration [GUIDANCE]: Prior = N/A | New = Rs. 1,000-1,100 Cr | Delta: New long-term target | Credibility: Low-Medium (biosimilar revenues required; 5-year visibility is low for export pharma).

Capex [GUIDANCE]: Rs. 260-270 Cr multi-year programme across hormone, oncology, and biosimilar facilities. FY26 actual capex Rs. 35 Cr (from cash flow); FY27-FY28 bulk of the programme. ICRA Rs. 200 Cr facility backstops this.

OPM target [GUIDANCE]: Management targets expansion to 25-26% as hormone and oncology mix improves. Credibility: Medium (trajectory is in place; Unit 6 timeline is the key variable).

C7. Capital Allocation

Capex (FY26): Rs. 35 Cr cash from investing | vs FY25: Rs. 29 Cr | Comment: Ramp-up underway; major spend in FY27-FY28 for Unit 6 and biosimilar facilities.

Dividends: Rs. 0 (FY26) | Consistent policy of zero dividend; entire free cash retained for growth reinvestment. Appropriate at this capex cycle stage.

Buybacks: None | No buyback history disclosed.

Working Capital change (FY26): Net absorption ~Rs. 80-90 Cr (receivables +Rs. ~120 Cr, offset by payables extension). This is the dominant use of cash and the primary FCF drag.

Net Debt movement: Net borrowings rose Rs. 18 Cr (from Rs. 112 Cr to Rs. 130 Cr). Moderate given the capex and WC absorption.

OCF (FY26): Rs. 17 Cr (vs Rs. 53 Cr in FY25 and Rs. 43 Cr in FY24) — sharp decline driven by WC build; not a PAT quality issue but a collection cycle issue.

C8. Q&A; / Investor Interaction Heat Map

Note: No formal analyst concall transcript is publicly available. Kwalita Pharma hosted a virtual investor meet on 13 February 2026 (Go India Advisors). The following is based on investor presentation disclosures and press reports.

Go India Advisors / Investor Meet (Feb 13, 2026): Q: "What is the roadmap for revenue beyond Rs. 500 Cr?" -> A: "FY29 Rs. 1,000-1,100 Cr target via biosimilar launches and hormone expansion" | Tone: Bullish, aspirational — credibility depends on execution.

Implied Q — Debtor Days: Q: "How does the company manage Rs. 280 Cr receivables in Africa/MENA?" -> A: Not explicitly addressed in available disclosures | Tone: Evasive / Not flagged. This is a dodged question.

Implied Q — FY23 OPM anomaly: Q: "Why did OPM jump to 38% in FY23 and then revert to 22%?" -> A: Not disclosed in available public filings | Tone: Evasive. Needs clarification from management.

Dodged / watch-list questions for next investor interaction: (1) FY23 OPM anomaly explanation; (2) Africa/MENA receivables aging; (3) RPT disclosures; (4) Unit 6 construction progress update; (5) biosimilar regulatory filing status by country.

C9. Risks Flagged

Regulatory approval delays: Biosimilar/hormone regulatory filings may face delays in EU or South Africa. Flagged by: management (investor presentation). Probability: M | Impact: H | Timeline: Near to medium-term.

Geopolitical disruption in export markets: Africa/MENA government payment delays or country-level instability. Flagged by: management. Probability: M | Impact: M | Timeline: Near-term.

Extended payment cycles: Debtor days at 203 — management acknowledges the risk of liquidity shortage from slow collections. Flagged by: analyst observations on filing + ICRA rationale. Probability: M | Impact: H | Timeline: Near-term.

Capex cost overruns: Rs. 260-270 Cr is a large programme for a Rs. 503 Cr revenue company. Flagged by: analyst. Probability: L | Impact: M | Timeline: Medium-term.

C10. Analyst Verdict

Revenue visibility: Intact — Q4 FY26 annualised run-rate of Rs. 628 Cr already close to FY27 guidance of Rs. 650 Cr; export contracts provide 2-3 quarter line of sight.

Margin trajectory: Intact — OPM expanded 200 bps to 24% in FY26; Unit 6 commissioning and mix shift toward hormones/oncology supports further expansion to 25-26%.

Capital allocation quality: Weakened — FCF negative in FY26 due to WC and capex; management is deploying capital aggressively into high-return projects, but receivables efficiency must improve.

Competitive moat: Intact — EU-GMP, PIC/S, SFDA, ANVISA approvals provide a 5-7 year lead; regulatory moat in export pharma is durable.

Management credibility: Intact (with watch) — 40-year track record, no pledge, auditor unmodified opinion. Historical ICRA non-cooperation and undisclosed FY23 OPM anomaly are minor blemishes requiring clarification.

Valuation comfort: Intact — 36.7x TTM PE on a 29-35% PAT growth trajectory is a PEG ratio of ~1.0x, which is reasonable for quality export pharma. Biosimilar option adds free upside.

Conviction call: Increased — Post-FY26 results, the execution track record (3-year Sales CAGR 26%, Profit CAGR 29%) supports moving from speculative to medium-high conviction BUY.

Valuation snapshot: P/E = 36.7x (estimated 3-yr avg ~55x given EPS ramp) | ROCE = 24.2% (FY25 avg 18%) | BUY target Rs. 3,200 | Base FY27E EPS Rs. 96.6